

Closing Responsibilities in Michigan

After a buyer and seller have entered into a purchase agreement, their agents are expected, unless this duty has been waived, to assist the parties as necessary through transaction completion. Getting parties to the closing table is the end goal, but licensees must be careful not to slack off before crossing the finish line. Let's do a quick review of a licensee's responsibilities related to closing, as outlined by Michigan license law.

- **Performing Closings:** Closing actions can be performed by either a real estate broker or the loan provider if financing is involved, with the broker ultimately being responsible for closing. Salespersons can only perform closings when under the direct supervision of their broker. Licensees can't close a transaction on any terms or conditions that differ from those in the signed purchase agreement, unless written approval is provided by both the buyer and seller. An amendment is generally permitted to provide this type of written approval.
- **Closing Statements:** Brokers or associate brokers conducting the closing must provide or ensure the buyer and seller are provided with complete and detailed closing statements. These statements must be signed by the broker or associate broker and show all receipts and disbursements affecting the transaction. This responsibility doesn't fall on the broker or associate broker if a title company, an agent of the title company, or other authorized, licensed party is conducting the closing.